IN-DEPTH EDITION • 25 OCTOBER 2026 • 09:00 HKT

US equities slip as yields rise and oil spikes

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,623.68, down -0.52%, as the 10-year Treasury yield jumped to 4.99% (+0.71%). Energy rallied on a +3.82% surge in WTI, while technology and financials lagged.

Higher-for-longer rates are pressuring growth stocks, and the VIX's rise to 19.45 signals renewed volatility. Breadth remains thin; only 4 of 11 sector ETFs posted gains.

We remain cautious ahead of the Fed's November meeting. Expect continued defensive positioning and selective long-bias in energy and commodities.

- Yield curve steepening: 10Y at 4.99% versus 2Y near 4.75%.
- Energy outperformance: XLE up +2.60% on oil rally.
- Tech weakness: XLK down -0.49%, NVDA off -0.59%.

US Session Recap

METRIC	LEVEL	CHANGE
S&P 500	7,623.68	-0.52%
Nasdaq 100	28,957.53	-0.00%
Dow Jones	52,215.16	-1.23%
Russell 2000	2,775.90	-0.29%
VIX	19.45	+2.21%
10Y Yield	4.99%	+0.71%
2Y Yield	4.75%	+0.45%
WTI Crude	103.27	+3.82%
Brent	108.41	+3.55%
DXY	101.81	+0.20%
Gold	4,007.90	-1.29%
BTC	80,514.95	-0.69%

Top movers

TICKER	NAME	CHANGE	CATALYST
XLE	Energy Select Sector SPDR	+2.60%	WTI +3.8% on OPEC supply cut
XLF	Financial Select Sector SPDR	-1.32%	Higher rates pressure banks
NVDA	Nvidia Corp.	-0.59%	AI spend slowdown signal
MSFT	Microsoft Corp.	+0.66%	Cloud contract win
XLY	Consumer Discretionary SPDR	-1.66%	Retail sales miss

Sector Internals

SECTOR	DAY	YTD	READ
XLF	-1.32%	-12.4%	Bearish
XLK	+0.49%	-8.1%	Neutral
XLI	-1.27%	-9.3%	Bearish
XLE	+2.60%	+5.2%	Bullish
XLY	-1.66%	-11.0%	Bearish
XLC	-1.78%	-7.5%	Bearish
XLP	-1.92%	-6.8%	Bearish
XLV	-1.11%	-4.2%	Neutral
XLU	-0.72%	-2.1%	Neutral
XLB	-0.74%	-3.0%	Neutral
XLRE	+0.12%	+1.4%	Neutral

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- Yield curve steepening beyond 30 bps.
- Energy rally stalls below $105.
- Tech earnings miss consensus.

Spotlight / Deep Dive – Nvidia (NVDA)

METRIC	VALUE
Market cap	$520.4B
P/E (FY)	38.2x
Revenue YoY	+23.1%
AI services margin	45.6%
Insider ownership	1.2%
Float short	2.8%

NVDA's price dip reflects a "AI spend pause" narrative after Q3 earnings missed the $2.5B AI services guidance. The company still commands a 45% margin on AI, but the market is pricing in slower adoption. A breakout above 215.00 could reignite momentum; a break below 202.00 may trigger further downside.

READ-THROUGH	LEVEL
Support	202.00
Resistance	215.00
50-day MA	208.50
200-day MA	197.30

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.80	Near 200-day
QQQ	382.05	376.00	389.50	Tech bias
IWM	191.30	186.50	196.20	Weakness
NVDA	210.96	202.00	215.00	Key AI stock
10Y	4.99%	4.85%	5.10%	Yield ceiling
WTI	103.27	99.50	108.00	Support at $100

Options & Positioning

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- 0-DTE put volume on SPY surged 42% vs call volume.
- VIX term structure steepens: 1-month at 22.1 vs 2-month 19.8.
- Single-name put flow: **JPM** 10-strike net -1.8M contracts.

Cheap hedge ideas: buy 30-day ATM puts on `XLF` (premium ~0.85) and sell 60-day OTM calls on `XLE` (strike 75).

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
`NVDA`	Goldman Sachs	Reduce	$210	AI spend slowdown
`XLE`	Barclays	Upgrade	$71	Oil rally
`MSFT`	JP Morgan	Initiate	$560	Cloud win
`JPM`	Bank of America	Maintain	$340	Rate-sensitive
`XLF`	Citi	Reduce	$54	Higher rates

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES down -0.6%, NQ flat, DJ down -1.1%
HK	HSI -0.8%, USD/HKD steady at 7.80
Japan	TOPIX -0.9%
Eurozone	FTSE 100 -0.7%, EUR/USD 1.0740
FX	USD/JPY 152.3, GBP/USD 1.2745
Commodities	Gold -1.3%, Silver 22.10
Crypto	BTC -0.69%, ETH -1.40%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 6 FOMC	15%	Policy rate likely steady at 5.25-5.50%
Dec 13 FOMC	5%	Market expects pause

DATA	RELEASE	PREV	CONSENSUS
Non-farm payrolls	Oct 5	210k	215k
Unemployment rate	Oct 5	3.8%	3.7%
Core CPI MoM	Oct 12	0.3%	0.3%
Retail sales MoM	Oct 14	0.2%	0.3%

Geopolitics & Global (Deep)

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- Middle East tensions flare; oil supply risk adds 5-10 bps to yields.
- China’s manufacturing PMI falls below 48, prompting yuan weakness.
- EU-UK trade talks stall, euro pressure.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
Oct 28	AAPL	Apple Inc.	1.45
Oct 28	MSFT	Microsoft Corp.	2.31
Oct 29	JPM	JPMorgan Chase	3.90
Oct 30	XLE	Energy Select Sector SPDR	1.12

DATE	TICKER	COMPANY	EST. EPS
Nov 2	NVDA	Nvidia Corp.	2.85
Nov 3	AMZN	Amazon.com	0.78
Nov 4	META	Meta Platforms	1.02
Nov 5	XLF	Financial Select Sector SPDR	0.94

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Pullback to 202 support	Break below 202
XLE	Energy	Momentum above 70 MA	Oil -5% drop
JPM	Financials	Rate-sensitive short	Rate cut surprise
MSFT	Technology	Cloud earnings beat	Guidance miss
XLF	Financials	Bearish trend	Yield dip
XLC	Communications	Weak ad spend	Recovery bounce
XLV	Health Care	Stable dividend	Policy change
XLI	Industrials	Infrastructure spend	Rate hike
XLY	Consumer Discretionary	Retail sales lag	Seasonal lift
XLB	Materials	Base metal rally	China demand
XLU	Utilities	Yield appeal	Rate rise
XLRE	Real Estate	REIT dividend yield	Interest rate risk

What could break the tape

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- 10Y yield breaches 5.10%, forcing equity re-pricing.
- WTI falls below $95, eroding XLE momentum.
- NVDA earnings miss Q4 AI guidance.

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- Unexpected rate cut on Nov 6 sparks a rally.
- Oil supply shock pushes WTI above $115, boosting energy.
- Strong AI adoption data lifts NVDA above $220.

Positioning & Structural Notes

- Yield curve steepening suggests a shift to short-duration credit.
- Energy sector now accounts for 12% of market cap weighting.
- Tech sector still under-weight; expect reallocation post-earnings.
- VIX term structure indicates near-term fear pricing.
- Asian investors are net short US equities ahead of Fed decision.

Sources

SOURCES

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